interest rates close to zero, quantitative easing, purchase of private corporate bonds, expanding the central bank balance sheet and managing the interest rate curve. Proponents of MMT believe that stimulus/monetary expansion from the monetary authority is useless in pushing up real economic activity, i.e., in generating real demand or reducing unemployment. These objectives could be achieved only if governments expand expenditure to bring in an economy-wide balance in demand and supply. This would generate growth, take care of social security and other re-distributional objectives, and achieve full employment.

The expansion of fiscal expenditures by printing more currency or creating more money can work, like the original Keynesian hypothesis, only if it results in increased production of goods and services. However, delivering helicopter money that does not result in increased consumption and new investment in productive capacity is as ineffective as monetary stimulus. In economies where this is not the outcome, there would neither be growth, nor inflation. Such fiscal expansion would also leak into an increase in asset prices.

The MMT does not work for an economy like India. In fact, it is similar to what the country used to do from the 1960s to the 1980s: runaway expansion of fiscal expenditure financed by automatic monetization of money. India witnessed excessive inflation during this period. The country still has unsatisfied demand but constrained supply. If the MMT were to be applied in India today, the results would be very close to what we witnessed until 1990: low growth and high inflation.